

Multiple Choice (10 marks)

1. The Daily Beetle has a circulation of 400,000. If the newspaper's rate is \$1.20 per page line, find the mill rate.

(a) \$5.00
(b) \$2.50
(c) \$1.80
(d) \$2.80
(e) \$1.20

2. George sells vacuum cleaners for \$75 each. He receives a 30% commission on each cleaner. Last week he sold 13 machines. What were his total earnings?

(a) \$325.50
(b) \$650
(c) \$585
(d) \$405
(e) \$975

3. Suppose the demand curve for iPods is given by $P = \frac{r \cdot r_e}{f_u}$, What is the elasticity value of this demand curve?

(a) 0.0
(b) -0.75
(c) -2.5
(d) -3.0
(e) 2.5

4. Fred Lowes is a typewriter salesman. He receives \$15 for each typewriter sold. If he sells 12 typewriters what is his commission?

(a) \$210
(b) \$200
(c) \$225
(d) \$175
(e) \$195

5. Harry Hype is paid a straight wage of \$2.89 (1/2) per hour. If he works 9 hours a day in a six-day week, how much will he be paid?

- (a) \$168.21
- (b) \$150.48
- (c) \$156.33
- (d) \$174.96
- (e) \$192.78

True / False (10 marks)

Answer True or False

6. True or False: The refund amount for the cancelled automobile insurance policy was \$155, as the full premium is returned upon cancellation.
7. True or False: John Backus borrowed \$340.00 from the Third National Bank, which includes the interest.
8. True or False: The selling price of Mike's automobile is 87% of its original cost of \$12,640.
9. True or False: The average yearly depreciation of an automobile that decreased from \$3,000 to \$2,400 is 20%.
10. True or False: Work specialization involves dividing tasks among individuals to ensure efficiency.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Calculate the rate of return on a preferred stock with a par value of \$50 and a dividend rate of 5.5%, currently priced at \$52.75. Discuss your methodology and findings.
12. Discuss the implications of a commission-based compensation structure, using Albert Morgan's sales of \$3,500 to calculate his earnings and analyze how this model impacts motivation and performance.

End of Paper